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# Dropshipping in India, from the inside

How the model works, who earns what, what the law requires, and where the money leaks out. It uses DeoDap (dropshipping.deodap.com) as a real worked example.

10 chapters  Interactive P&L  Sources at the end

> READ THIS FIRST
>
> This guide is for learning. It is not legal or tax advice. GST and compliance rules change often (GST rates changed in Sept 2025; the Income-tax Act was replaced in April 2026). Confirm your setup with a Chartered Accountant before you launch.

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01 BASICS

## How dropshipping works

Dropshipping is a way of running a shop. You sell a product before you own it. When a customer orders, you pass the order to a supplier. The supplier packs it and ships it straight to the customer, usually with your name on the parcel. You keep the gap between what the customer paid and what you paid the supplier, minus every cost in between.

There are three parties: the **customer**, **you** (the store, and the "seller of record"), and the **supplier** (who holds stock and ships). The customer only sees you.

**You own and are responsible for**

- The brand, store and product listings
- Marketing and ad spend (your biggest cost)
- The customer relationship and support
- The tax invoice, refunds and legal liability

**You do not control**

- Stock levels (items can sell out after you've sold them)
- Product quality: you may never touch the product
- Packing speed, packaging quality, courier

- The tax invoice, refunds and legal liability
- Cash flow: you usually pay the supplier before the customer's money arrives

choice

- Who else sells the same product. Often thousands of others do.

The key point: **dropshipping removes inventory risk and adds marketing risk.** You're spared buying stock that might not sell. In exchange, you're competing on ads and service for products anyone can list. In India there's one more factor that matters a lot: **cash on delivery (COD) and returned parcels**. Chapters 3 and 7 cover this.

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02 WORKED EXAMPLE

# DeoDap: one order, end to end

**What DeoDap says it is:** a Rajkot wholesaler founded in 2014, with about 400 staff. It claims 12,000+ SKUs in 35+ categories, 19,000+ serviceable pin codes, 24–72 hour delivery, COD, white-label shipping and GST billing. It also says it has 15,000+ sellers. You list their products on your own channel, they ship, and you never hold stock.

## Trace one order

Say you run a Shopify store and sell a kitchen gadget at ₹799 through an Instagram ad:




Two flows run in opposite directions. **Goods** go from supplier to courier to customer. **Money** goes from you to the supplier first, and only later from the customer to you, via the courier or payment gateway. On a COD order you're out of pocket for about one to two weeks. You lose the forward

shipping cost entirely if the customer refuses the parcel.

## How DeoDap makes money

Look at what's for sale. The pricing page lists about 10 paid plans (Premium, Signature Premium, Amazon Gold, Website, Shopify, Mobile App, CSV, Reselling, Blockbuster, Saheli). They bundle setup, product listings, an account manager, Amazon account handling, ad credit and trademark filing. Only one price is published (Mobile App: ₹5,900). The rest require a callback. DeoDap earns in three ways:

1. **Plan fees**: paid up front, whether or not you ever sell anything.
2. **Product margin**: the "wholesale" price you pay includes DeoDap's margin.
3. **Services**: account management, ads management, listings, A+ content, trademarks.

That isn't unusual or wrong; it's the model. But you should understand it. **The platform is paid even if you don't profit.** Your income is the only part that depends on selling.

> READ THE SITE LIKE A BUYER
>
> - **Urgency tactics:** a countdown timer on a "free ₹499 consulting call" and "Today's webinar is running right now". These are sales funnels.
> - **"₹0 inventory risk":** true for stock. It doesn't cover ad spend, plan fees, RTO losses or unpaid COD.
> - **Hidden prices:** a callback means a salesperson sets the price. Get the price, the refund terms and the plan contract in writing before you pay.
> - **Stale tax data:** the profit calculator still offers 12% and 28% GST slabs. Those were removed for most goods on 22 Sept 2025, when GST moved to 5% / 18% / 40%.
> - **The calculator's two answers:** it shows "₹181 profit per order" and "₹25,608 per month". At 300 orders, ₹181 × 300 − ₹5,000 fixed = ₹49,300, not ₹25,608. The site's own JavaScript has a comment explaining that the ₹181 card is the "optimistic" model, and the monthly figure is the "honest" one. The calculator in Chapter 3 recreates that monthly figure, then adds the costs it leaves out.

## Questions to ask DeoDap (or any supplier) before paying

- [ ] What exactly is the plan price, and is any of it refundable?
- [ ] When a parcel is returned (RTO), do I get the product cost back? Who pays the return freight?
- [ ] Whose name is on the tax invoice inside the parcel: mine or yours? (Amazon and Flipkart

require it to be yours.)

- [ ] What's the dispatch SLA, and what happens when a product I sold is out of stock?
- [ ] How often is stock synced to my store? Through an app, an API or CSV?
- [ ] Do you provide BIS, FSSAI or other certificates for regulated products, and country of origin?
- [ ] How are damage, wrong-item and missing-item claims handled, and within how many days?
- [ ] Can I order samples at wholesale price, and can I get 3–5 seller references?

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03 UNIT ECONOMICS

## The real numbers

Start with the "DeoDap default" preset. It recreates their monthly model and gives the same ₹25,608. Then switch to **Realistic new store**. That preset adds the costs their model leaves out: return freight on RTO, COD handling fees, gateway fees, post-delivery customer returns, and a higher ad cost than ₹120 per order. All inputs are editable.

MONTHLY P&L · PER 1 PRODUCT

DeoDap default | Realistic new store | Well-run store

| | |
|---|---|
| Selling price incl. GST (₹) | 799 |
| GST slab | 18% |
| Product cost from supplier (₹) | 250 |
| Forward shipping (₹) | 80 |
| Packaging (₹) | 15 |
| Ad cost per order placed (₹) | 120 |
| Orders placed / month | 300 |
| Fixed costs / month (₹) | 5000 |
| Cancelled before dispatch (%) | 10 |
| RTO, % of dispatched | 20 |
| Return freight charged on RTO? | |
| COD share of delivered (%) | 0 |

ESTIMATED MONTHLY PROFIT

**₹25,608**

Profitable at these inputs.

300 placed | 30 cancelled | 270 dispatched | 54 RTO | 216 delivered

| | |
|---|---|
| Net revenue on 216 delivered (GST removed) | ₹1,46,258 |
| Product cost (delivered only; RTO stock assumed credited) | −₹54,000 |
| Forward shipping on 270 dispatched | −₹21,600 |
| Packaging on dispatched | −₹4,050 |
| Ads on all 300 orders placed | −₹36,000 |
| Fixed costs | −₹5,000 |
| **Monthly profit** | **₹25,608** |

Profit per delivered | Break-even ad cost per

No

COD handling fee / COD order (₹)

0

Gateway fee on prepaid (%)

0

Customer returns after delivery (%)

0

order
**₹142**

order
**₹205**

Cash tied up (supplier paid, COD pending ~10 days)
**₹46,500**

Ad spend as % of net revenue
**25%**

**What the presets show.** The same product and price can earn about ₹25k a month or lose about ₹40k a month. The difference comes from three inputs: **ad cost per order, RTO rate and COD share**. These are the numbers you manage. Product cost matters less than most beginners expect.

- **RTO benchmarks:** Indian D2C COD orders are commonly returned 25–30% of the time, up to 40% in fashion and general merchandise. Prepaid orders are under about 2%. Festive peaks (Nov 2025) reached about 39%.
- **Ad cost:** ₹120 per order is achievable for a proven product and creative. New stores testing products often pay ₹200–400+ while learning. This range is my working assumption, not a published benchmark. Measure your own.
- **Price for the funnel, not the product.** A ₹799 item rarely survives Meta ads plus COD. Most profitable dropshippers sell at ₹999–1,999, bundle items, or upsell to raise order value.

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04 SOURCING

# Choosing a supplier

A search for "Indian suppliers for dropshipping" returns several different kinds of business. Know which kind you're dealing with:

| TYPE | EXAMPLES (VERIFY CURRENT STATUS) | GOOD FOR | WATCH OUT FOR |
|---|---|---|---|
| B2B dropship catalogue + paid plans | DeoDap, Baapstore and similar | Fast start, large catalogue, white-label shipping | Plan fees; the same catalogue is shared with thousands of sellers; markup on the "wholesale" price |

| | | | |
|---|---|---|---|
| Shopify dropship apps (India) | Roposo Clout and other app-store suppliers | Automatic product import, stock sync and order push | App fees; read reviews from the last 3 months only |
| Print-on-demand | Qikink and similar | Your own designs (t-shirts, mugs), so less copying | Lower margins; print quality varies |
| Reseller marketplaces | Meesho (reselling/social commerce) | Zero setup; selling through WhatsApp or Instagram | Very low prices; you don't own the customer |
| Direct manufacturers / wholesalers | Found on IndiaMART, trade fairs, or in Surat, Rajkot, Delhi clusters | Better price, exclusivity, custom packaging | You often need to arrange shipping yourself; minimum orders |
| Your own stock + 3PL (the next step) | Buy 50–200 units of proven items, store with a 3PL | Margin, speed, your own branding, control over quality | Inventory risk returns, so only do this after the product is proven |

### Supplier due diligence

- [ ] Order 2–3 samples to a friend in another state, as a customer would. Time the dispatch, check the packaging and look for the supplier's name on the box.
- [ ] Check their GSTIN on the GST portal: legal name, status, and date of registration.
- [ ] Get a written agreement: dispatch SLA, RTO and damage policy, invoice format, price-change notice period, how the relationship ends.
- [ ] Keep a backup supplier for every bestseller.
- [ ] Avoid branded goods, lookalikes and "first copy" items. Trademark infringement and counterfeits can close your store and your payment gateway.

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05 LEGAL

## Legal and compliance in India

**Dropshipping is legal in India.** But you're legally the seller. Product liability, consumer complaints, tax and labelling are your responsibility, not your supplier's. Here's the stack,

roughly in the order you'll meet it.

## 1. Business entity and bank

A sole proprietorship is the cheapest way to start: PAN, a current account, and GST. An LLP or Pvt Ltd costs more but limits personal liability and helps with marketplaces and investors. Udyam (MSME) registration is free and optional, but useful.

## 2. GST: the one that catches beginners

- **Selling to other states requires GST registration** (Section 24, CGST Act), regardless of turnover. A pan-India Shopify store ships across states, so in practice you need GST from day one.
- **Small-seller relief (since 1 Oct 2023):** sellers on e-commerce marketplaces with turnover under ₹40 lakh (goods) can skip registration only if they sell *within their own state*. This rarely fits dropshipping.
- **Rates after GST 2.0 (22 Sept 2025):** mostly 5% and 18%, with 40% for luxury and sin goods. Check the HSN code of every product you list.
- **Invoice in your name.** The supplier invoices you (bill-to: you, ship-to: the customer). You invoice the customer. With GST registration you can claim input credit on the supplier's GST.
- **On marketplaces:** Amazon and Flipkart deduct **GST TCS** (0.5% CGST+SGST, or 0.5% IGST since 10 July 2024) and **income-tax TDS of 0.1%** (formerly Section 194-O, now Section 393(1) of the new Income-tax Act from April 2026). Both can be claimed back in your returns. Track them.

## 3. Consumer Protection (E-Commerce) Rules, 2020

Your store must show: legal name and address, contact details, a grievance officer, return/refund/exchange/warranty policies, country of origin, and the total price including all charges. Fake reviews, fake countdown timers, drip pricing and other **dark patterns** are prohibited under the CCPA's 2023 guidelines. That includes the urgency tactics many dropshippers copy.

## 4. Legal Metrology (Packaged Commodities) Rules

Packaged products need MRP, net quantity, manufacturer/packer/importer name and address, month of manufacture or import, and a customer care contact. Your listing must show the same declarations. If a supplier's product lacks them, don't list it.

## 5. Product-specific approvals

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- **BIS (ISI/CRS) Quality Control Orders:** mandatory for many consumer products, including toys, many electronics and chargers, helmets, pressure cookers and some cookware. The list changes; several QCOs were withdrawn in 2025. Check bis.gov.in for each category, and ask the supplier for the licence number.
- **FSSAI** for food, supplements and tea. **CDSCO / Drugs & Cosmetics rules** for cosmetics and medical devices. Beginners should avoid these categories.

### 6. Your brand and IP

Do a trademark search before naming the store. Then file in Class 35 (retail services) plus your product class. Never use other brands' names, logos or product photos without permission.

### 7. Customer data: DPDP Act 2023 + Rules 2025

The rules were notified on 13 Nov 2025. Most obligations (notice, consent, security, breach reporting, data-principal rights) apply from **13 May 2027**. Build this in from the start: a clear privacy notice, consent for marketing messages, and limited access to customer phone numbers.

### 8. Platform rules (often stricter than the law)

- **Amazon:** dropshipping is allowed only if you're the seller of record. No packing slip, invoice or packaging may name another seller. Breaking this risks account suspension.
- **Payment gateways** (Razorpay, Cashfree, etc.) need KYC documents, plus policy pages, contact details and working product pages before they approve your site.
- **Meta ads:** unrealistic claims, before/after images and copyrighted creatives get ad accounts banned. Keep a backup ad account and Business Manager.

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06 OPERATIONS

## Daily operations

| CHANNEL | SETUP | WHO BRINGS THE CUSTOMER | FIT FOR DROPSHIPPING |
|---|---|---|---|
| Own Shopify site | Shopify plan, domain, payment gateway, COD app | You (Meta/Google ads, influencers) | Best control and margin. Needs ad skill. |

| | | | |
|---|---|---|---|
| Amazon / Flipkart | Seller account, GST, brand registry helps | The marketplace (plus sponsored ads) | Allowed with seller-of-record rules. Strict dispatch times; high fees. |
| Meesho | GST or exemption route | The marketplace | Very price-competitive. Thin margins. |
| WhatsApp / Instagram reselling | Catalogue + payment link | Your network | Low cost to test; hard to scale. |

## The daily loop

1. **Morning:** sync stock and hide out-of-stock items. Check ad spend from the previous day against orders.
2. **Confirm COD orders** by WhatsApp or an automated call before you push them. Cancel fake or unreachable ones. This one step cuts RTO the most.
3. **Push confirmed orders** to the supplier panel and top up your wallet.
4. **Work the NDRs** (non-delivery reports): call the customer and reschedule within 24 hours. An unanswered NDR becomes an RTO.
5. **Support:** answer "where is my order", returns and damage claims. Collect unboxing videos as evidence for damage claims.
6. **Weekly:** reconcile COD remittances against delivered orders, supplier invoices against orders, and ad spend against profit per product. Remove products that lose money.

## Ways to reduce RTO

- Offer a prepaid discount (e.g. 5–10% off, or free shipping for prepaid).
- Take a small COD advance (₹49–99) for high-RTO pin codes.
- Block pin codes and customers that repeatedly refuse parcels.
- Use honest product photos and videos. Many refusals come from the customer feeling misled.
- Ship within 24 hours. The longer delivery takes, the more often COD customers refuse it.

## A basic tool stack

A store platform; the supplier's order-sync app; a WhatsApp Business API tool for COD confirmation and updates; an accounting tool that handles GST (e.g. Zoho Books, Tally, Vyapar); and one spreadsheet that tracks ad spend, orders, RTO and profit for each product, every day.

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07 DISTRIBUTION

## Shipping and COD

With DeoDap, the supplier books the courier, usually through an aggregator that sends parcels via Delhivery, Xpressbees, Ekart, DTDC, Blue Dart and others. You can't see this, but it affects you:

- **Zones:** local (same city), regional, metro to metro, rest of India, and special zones (North-East, J&K). Rates rise and delivery slows by zone. "24–72 hours" means metro and regional. North-East and remote pin codes can take 5–8 days.
- **Weight slabs and volumetric weight:** you're billed on whichever is higher, actual weight or L×B×H(cm)/5000. A light but bulky item costs like a heavy one.
- **COD remittance:** couriers hold the cash. Shiprocket's standard cycle is about 8 days after delivery, paid three times a week. Early payout costs about 0.5–1% of the amount.
- **RTO charges:** most couriers charge return freight, roughly equal to forward freight. The parcel goes back to the supplier. Find out whether you get the product cost back.
- **Lost and damaged parcels:** claims are capped and slow. Keep weight-at-dispatch proof and unboxing videos.
- **White-label packing:** a plain box with your name or brand on the label. Custom printed boxes and inserts usually cost extra or aren't available on shared catalogues. This limits how much of a brand you can build.

ROZMISO / STACK N STOCK ANGLE

Dropshipping's weak points are speed, packaging control, consistent quality and RTO handling. These are exactly what owning inventory in your own or a partner's warehouse fixes. A sensible path: test products by dropshipping, then move proven SKUs into stock you control. That's where warehouse capability turns into margin.

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08 UNKNOWNS

## What nobody tells you

| RISK | WHAT HAPPENS | DEFENCE |
|---|---|---|
| Shared catalogue | Many other sellers list the same item with the same photos, then compete on price | Niche positioning, bundles, your own creatives, then private label |
| Selling out-of-stock items | You collect an order the supplier can't fill, then have to refund and apologise | Sync stock several times a day; keep a backup supplier |
| Quality you haven't checked | Bad reviews, refunds, chargebacks | Samples, batch spot-checks, honest listings |
| Cash-flow squeeze | Growth needs more cash, because supplier, ads and freight are paid before COD arrives | Push prepaid orders; set aside about 2 weeks of costs |
| Ad account ban | Sales stop overnight | Compliant ad copy, backup accounts, build organic and repeat customers |
| Marketplace suspension | Funds held for weeks | Follow seller-of-record rules; keep dispatch metrics healthy |
| GST mistakes | Notices, interest, blocked input credit | Register correctly; file monthly; reconcile TCS/TDS |
| Paying for courses and plans | Money spent on plans, courses and "winning product" lists with no sales | Pay the platform only after you've validated demand with a small test |
| Depending on one supplier | Price rises, policy changes or closure hit your whole business | Two suppliers per bestseller; keep your customer list |

09 PLAN

## A 90-day start plan

**DAYS 1–30 · SET UP**

- Pick one niche (e.g. home and kitchen). Shortlist 15–20 products.
- Order samples from 2–3

**DAYS 31–60 · TEST**

- Test 5–8 products with ₹500–1,000/day each, with a budget cap.
- Track ad cost per order,

**DAYS 61–90 · FOCUS**

- Scale 1–2 profitable products. Raise order value with bundles and upsells.

suppliers. Compare dispatch time and quality.
- Register the entity, GST and a current account. Run a trademark search.
- Build the store with all policy pages and the e-commerce rule disclosures. Set up the payment gateway and COD confirmation.

confirmation rate, RTO % and profit per delivered order, every day.
- Stop products with no clear profit after about ₹5k in ad spend.
- Do the first GST filings; reconcile COD.

- Shift customers towards prepaid. Aim for RTO under 15%.
- Only now consider a paid supplier plan, if the numbers justify it.
- Plan your own stock for the winners (private label + 3PL).

**Numbers to watch:** ad cost per order (versus break-even ad cost), COD confirmation rate, RTO %, profit per delivered order, days of cash tied up, and repeat purchase rate.

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10 REFERENCE

# Glossary and checklists

| | |
|---|---|
| **RTO** | Return to Origin. A shipped parcel that wasn't delivered (refused, unreachable, wrong address) and comes back. You lose freight both ways. |
| **NDR** | Non-Delivery Report. The courier's notice that a delivery attempt failed. Act within 24 hours. |
| **COD** | Cash on Delivery. The customer pays the courier, who sends the money to you later. |
| **CAC** | Customer acquisition cost. Here, ad spend divided by orders placed. |
| **AOV** | Average order value. |
| **SKU** | Stock-keeping unit: one specific product variant. |
| **White label** | Shipped with your name, without the supplier's branding. |
| **Seller of record** | The legal seller named on the invoice. In dropshipping, this is you. |
| **TCS / TDS** | Tax a marketplace collects (GST) or deducts (income tax) from your payouts. Both can be claimed back. |

| | |
|---|---|
| **HSN** | The product classification code that sets the GST rate. |
| **3PL** | Third-party logistics: a warehouse that stores, packs and ships your own stock. |

**Legal checklist**

- [ ] PAN, entity, current account
- [ ] GST registration (needed for inter-state sales)

**Launch checklist**

- [ ] Samples received and approved
- [ ] Supplier agreement signed
- [ ] Payment gateway and COD confirmation